

CONTOSO CORP

Disciplinary Action Policy

Human Resources Division | Effective: January 1, 2024

Policy ID	CON-HR-014	Effective Date	January 1, 2024
Last Reviewed	December 2023	Policy Owner	VP, People Operations

1. Purpose & Scope

This policy establishes a fair, consistent, and legally compliant framework for addressing employee conduct, performance, and policy violations at Contoso Corp. It applies to all regular full-time and part-time employees globally. The goal of disciplinary action is corrective — to give employees a clear opportunity to understand expectations and improve — not punitive. However, Contoso Corp reserves the right to apply any level of discipline, including immediate termination, based on the severity and circumstances of a violation.

2. Principles

- **Consistency:** Similar conduct will be addressed similarly across teams, roles, and levels.
- **Proportionality:** The severity of discipline will match the severity of the violation.
- **Documentation:** All formal disciplinary actions must be documented in Workday.
- **Due Process:** Employees will have the opportunity to share their perspective before formal action is taken, except in cases requiring immediate suspension.
- **Confidentiality:** Disciplinary matters are kept confidential to the extent practicable.
- **No Retaliation:** Employees who report violations in good faith are protected from retaliation.

3. Progressive Discipline Steps

Contoso Corp generally follows a progressive discipline model. However, the company may skip steps or proceed directly to termination based on the nature and severity of the conduct.

Step	Action	Typical Trigger	Issued By	Retained In File?
Step 1	Verbal Warning	First minor violation or performance gap; Managerial coaching has not resolved the issue	Manager	Not retained (unless serious)
Step 2	Written Warning	Repeat of Step 1 violation; new moderate violation; HR first occurrence of certain policy breaches	Manager or HR	Yes (12 months)
Step 3	Final Written Warning	Repeat violation after Written Warning; Serious policy breach; Performance consistently below expectations on 3 consecutive evaluations	Manager or HR	Yes (24 months)
Step 4	Suspension (paid)	Pending investigation of serious allegation; HR time for employee to address urgent issue	HR and VP	Yes (permanent)
Step 5	Termination	Continued non-improvement; gross misconduct; Violation of severe policy (see Section 5)	HR and VP	Yes (permanent)

4. Conduct Warranting Immediate Termination

The following violations may result in immediate termination without prior warning, at the sole discretion of Contoso Corp following an investigation:

- Theft, fraud, embezzlement, or intentional misappropriation of company or client assets.
- Physical violence, assault, or credible threats of violence against any person.
- Sexual harassment involving physical conduct or explicit quid pro quo.
- Willful destruction of company property.
- Unauthorized disclosure of trade secrets or confidential client data.
- Falsification of employment application, timekeeping records, or expense reports.
- Reporting to work under the influence of illegal drugs or alcohol in a safety-sensitive role.
- Serious violations of the Code of Conduct (CON-HR-001) including bribery and anti-corruption breaches.
- Material violations of the IT Acceptable Use Policy (CON-IT-001) including deliberate data exfiltration.

5. Investigation Process

Before issuing a Written Warning, Final Warning, Suspension, or Termination, HR will conduct a brief investigation to gather relevant facts. The process includes:

- HR notifies the employee that an investigation is underway. The employee may be placed on paid administrative leave during the investigation.
- HR interviews the employee and any relevant witnesses. Interviews are documented.
- Relevant evidence (emails, access logs, system records, expense data) is reviewed.
- HR and the manager assess findings and determine the appropriate action.
- The employee is informed of the outcome and any resulting disciplinary action.
- For termination decisions, Legal reviews the documentation before the meeting.

Employees may not bring legal counsel to internal HR meetings but may bring a non-attorney support person (e.g., a trusted colleague) to a termination meeting if requested in advance.

6. Employee Right to Respond

Before a formal Written Warning or above is issued, the employee will be given a copy of the proposed action and an opportunity to respond in writing within 3 business days. The response will be reviewed by HR and considered before the action is finalized. This process does not apply to paid administrative leave pending investigation.

7. Appeals

Employees who believe a disciplinary action was issued unfairly or inconsistently may appeal within 10 business days of receiving the action by submitting a written appeal to hr@contosocorp.com. Appeals are reviewed by a senior HR leader not involved in the original decision. The appeal outcome is final and will be communicated within 15 business days of receipt.

8. Disciplinary Records

Written Warnings are removed from the active disciplinary record after 12 months if no further violations occur. Final Written Warnings are removed after 24 months. Suspensions and terminations are retained permanently. Removed records may still be considered if a pattern of conduct recurs.

9. Manager Responsibilities

- Address minor concerns promptly and informally before they escalate to formal discipline.
- Consult with your HR Business Partner before issuing any formal written disciplinary action.
- Document all disciplinary conversations — verbal warnings, coaching sessions, and formal actions — in Workday.
- Apply discipline consistently across team members. Inconsistent application exposes the company to legal risk.
- Never issue discipline in a way that demeans or humiliates the employee.